



Cyclicals: Back on the Menu?

Chart of the week: Sensitivity to IP vs price performance since Iran war

With the US and Iran signing an MoU last week, the Hormuz blockade lifted and the ceasefire extended by 60 days, the companies hit hardest by the war may now have the most to gain. Europe bore much of the pain given its sensitivity to energy prices, but as inflationary pressure fades and corporate investment sentiment recovers, capital goods names most exposed to industrial production should be well placed for a rebound. This week's chart plots the correlation between organic sales growth and German industrial production across our coverage, against share price performance since the start of the Iran war. Those with the highest short-cycle exposure, including KION, Knorr-Bremse and SKF, still trade below pre-war levels. As the market moves through the post-war aftershocks, a number of upcoming catalysts could support the recovery in the shares.

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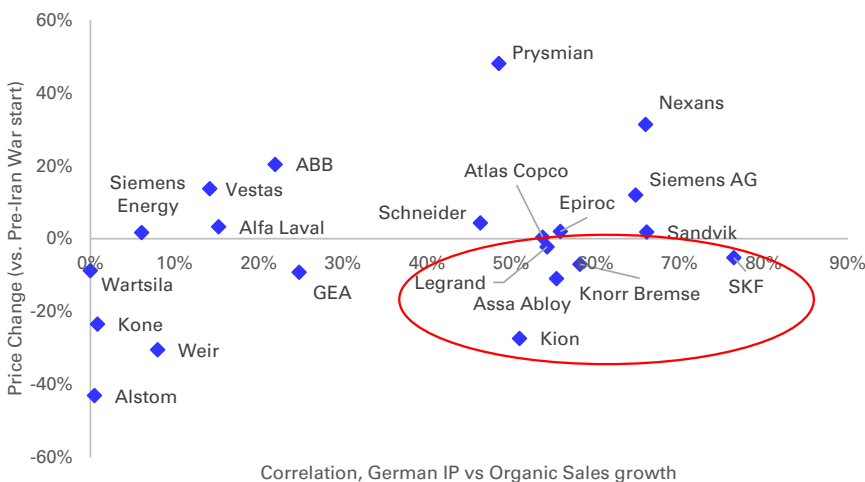
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Figure 1: Cap goods sales growth correlation to German IP vs price performance since Iran war



Source : Company data, Deutsche Bank estimates, Bloomberg; Note: Price change since 27-Feb-2026

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1/ Knorr-Bremse will provide a strategic update alongside Q2 results on 30 July, including new mid-term targets. We expect a 16%+ margin target for 2029 or 2030, around 2pts above its 2026 guidance. 2/ KION, meanwhile, continues to trade near historically low multiples, with the market giving little credit for its more resilient business mix versus prior cycles. A potential mid-single-digit cut to FY26 EBIT guidance should be a clearing event, while a better post-war growth outlook creates an attractive risk/reward skew. 3/ For SKF, the planned spin-off of the Automotive division remains on track for the autumn and should help drive a re-rating.

Last week

Schneider announced a strategic collaboration with Foxconn to deliver integrated, ready-to-deploy solutions that enable customers to build AI data centers more rapidly and with greater efficiency. This collaboration brings together Foxconn's expertise in advanced compute platforms, AI rack integration, and global manufacturing with Schneider's expertise in power and cooling. Production will begin later this year.

Wärtsilä announced a 50/50 JV with RCT Solutions for its Energy Storage business with new investors possibly joining at a later stage. The company had struggled with profitability in Storage (6% target margins vs. core group margin of 14%), with the JV creating more vertical integration as RCT has been a key supplier to Wärtsilä for several years. The press release indicates that the JV will be loss-making in 2026, with -€40m to -€50m in expected EBIT contribution to Wärtsilä, including a negative impact from transformative actions such as the write-down of R&D. The deal is expected to close in Q3 2026, with the JV to be reported as a share of results in associated companies going forward.

According to Manager Magazin, **Siemens Energy** is looking into a potential separation of its Tol division through an IPO, the spin-off of a majority stake, or a merger with a competitor. If completed, the separation would allow Siemens Energy to fully refocus on electrification markets, eliminate its Oil&Gas/ petrochemical exposure, and mechanically improve its margin profile by at least +50bps.

Fujikura raised its FY26 operating profit guide by 47%, and its H1 profit guide by 89% after just one quarter into the fiscal year. The upgrade came only a month after Fujikura provided a conservative FY26 guide, which led to a sell-off in its shares. Fujikura has secured new orders for optical components, raised its prices and sees an easing of the impact from hydrogen shortages. While the update from Fujikura is supportive for sentiment in the space, the read-across for **Prysmian** is limited, in our view. Fujikura does not have meaningful domestic bare fiber capacity in the US (making it exposed to tariffs), while the previous FY26 guide took into account hydrogen shortages on the back of the war (while in Prysmian's case, the company was not affected by the Hormuz blockade for inputs such as hydrogen).

On Friday, **Nexans'** shares were up nearly 3%. We attribute the strength to its Electra event on Thursday. The Q&A with management was positive with CEO indicating that they would know the result of an MI project tender to replace GSI in the short term, by early Q3. Outside of transmission, management sounded very positive on the demand outlook within data centers, both in Europe (where large project momentum is accelerating) and in the US, with Republic Wire providing a springboard for its MV cable offering.



On the macro side, US Empire manufacturing index for June declined to +5.7 (vs. cons: +13.7) from +19.6 in May, Industrial production for May increased +0.1% MoM (vs. cons: +0.3%, April: +0.7%), Housing starts declined to 1.177m (cons: 1.43m) from 1.465m in April, and provisional building permits for May stayed almost flat MoM at 1.413m (vs. cons: 1.418m, Apr: 1.423m). Germany's ZEW survey expectations index for June improved to +10.5 (vs. cons: -5.5) from -10.2 in May and PPI increased to +2.2% YoY in May (vs. cons: +2.5%) from +1.7% in April. China's industrial production for May increased +4.5% YoY (vs. cons: +4.4%, April: +4.1%).

This week

On the macro front, key releases this week include the provisional Eurozone, Germany, France - Manufacturing PMI for June, France's Manufacturing Confidence Index for June, and US - Richmond Fed manufacturing Index for June on Tuesday, US Building Permits MoM (May F) on Wednesday, followed by provisional US Wholesale inventories for May and Italy's Manufacturing Confidence Index for June on Friday. A full schedule is shown below.

Figure 2: Calendar of upcoming events this week

Event	
23-Jun	Eurozone, Germany, France - Manufacturing PMI (June prov); France - Manufacturing Confidence Index (June); US - Richmond Fed manufacturing Index (June)
24-Jun	US - Building Permits MoM (May F)
26-Jun	US - Wholesale inventories MoM (May Prov); Italy - Manufacturing Confidence Index (June)

Source : Deutsche Bank, Bloomberg Finance LP

Sector weekly performance and valuation: The sector ended the week up +6.0%, and up +3.5% vs. the STOXX Europe 600. As of Thursday, the sector traded on a median 2026E P/E of 22.2x and EV/EBITA of 16.0x. For detailed valuation and risk sections, please see referenced reports.



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Reports you might have missed

Siemens Energy: TI in the spotlight: According to Manager Magazin (June 18), Siemens Energy is exploring the separation of its "Transformation of Industry" division (TI, €5.7bn revenue, 14% of group) through an IPO, the spin-off of a majority stake, or a merger with a competitor. If completed, we believe the move would benefit shareholders; it would allow Siemens Energy to fully refocus on electrification markets, eliminate its Oil&Gas/petrochemical exposure, and mechanically improve its margin profile (we estimate by at least +50bps). It would also simplify the group's reporting structure and make its profile even more comparable to that of GEV, potentially further reducing the gap between the two companies' valuation multiples. We rate the stock Buy. See full report [here](#).

Kion: Six arguments for asymmetric upside: While the stock came under pressure due to valid concerns (unpredictable macro, rising interest rates, inflationary pressures, at-risk guidance), the extent of its decline (-40% YTD) appears excessively severe. KION is now trading nearing historically low multiples, both on an absolute and relative basis. With the risk of appearing naïve, we continue to believe that valuation matters. The current stock price already seems to reflect a worst-case scenario, suggesting the market may be underestimating the group's enhanced resilience characteristics including a more dynamic pricing strategy, escalation clauses in place and a lower breakeven point. Although a MSD downward revision to the FY26 EBIT guidance is possible, the buy-side has already factored this in, and it should be viewed as a clearing event. The risk/reward profile is very asymmetric, as we see 20% downside risk and 100% upside potential. See full report [here](#).

Assa Abloy: Q2'26 results due July 17 - volume growth remains subdued: Assa Abloy will release its Q2 results on July 17. After a subdued Q1 performance primarily due to adverse weather conditions and significant negative FX effects, we anticipate Q2 will better align with the group's usual standards, although still slightly below consensus estimates. So far this year, the M&A contribution has been relatively limited and volume growth has been modest compared to the sector average. Higher rates and weaker consumer confidence are further delaying the recovery of the residential market. We retain a Hold rating. See full report [here](#).

Nexans: Feedback from the Electra event: We attended Nexans' inauguration of its third cable-laying vessel, Electra, in Oslo yesterday, which was followed by a Q&A with management. Electra is a best-in-class cable laying vessel with lower emissions that should help Nexans win more tenders and improve margins as it relies less on 3rd parties. Nexans should also know the result of an MI project tender to replace GSI in the short term, by early Q3. Outside of transmission, management sounded very positive on the demand outlook within data centers, both in Europe (where large project momentum is accelerating) and in the US, with Republic Wire providing a springboard for its MV cable offering. The valuation remains compelling with the shares trading at a deep c.40% discount to Prysmian, with a growing exposure to data centers and the US market. See full report [here](#).

Sandvik: Q2 faces tougher order comps but trend growth remains intact: Sandvik reports Q2 results on July 17. The company is enjoying positive market dynamics in both mining and industrial exposures but growth comps get tougher from here in Mining. That said, we think the company will deliver Q2 results in line with DB estimates to slightly ahead of consensus for Q2 and the year. We see better positive operational leverage in the quarter, with c.300bps margin expansion yr/yr in group



EBITA and with forex less of a headwind (-80bps vs -240bps yr/yr in Q1). On the SMM side, tungsten pricing has come off its relative peak but continues to underpin positive price cost on cutting tools where we continue to see real growth. We remain BUY rated on the share with a new target price of 445 SEK. See full report [here](#).

Epiroc: Fundamentals intact but limited ability to beat in the quarter: Epiroc is set to report Q2 results on July 17th. The quarter looks good with soft order comps in E&S, unchanged positive fundamentals with execution and margin delivery the watch items this year as the market looks for evidence that positive industry dynamics will translate to margin improvement more in-line with historic levels. DB estimates are in-line to slightly ahead for Q2 and full-year numbers for 2026. With no announced large orders in the quarter to date, visibility is lower on equipment orders and we trim our estimate here. With its recent capital markets day (link [here](#)), we expect little to no change in messaging on the company's outlook statement 'mining demand remains strong with construction expected to increase somewhat from a low level.' We maintain our HOLD rating but adjust our target price to 267 SEK. See full report [here](#).

SKF: Q2 looks benign with separation on track, new target price 280 SEK: SKF reports Q2 2026 results on July 17th. DB estimates are in line with consensus at the group level on Q2 numbers with the expected spin of Automotive the larger driver for the share. Normal cyclicity has been distorted in 2025 and 2026 due to the start-stop nature of tariff changes, as well as various bouts of pre-buy activity. We continue to forecast modest volume recovery in late 2026 with recent cost inflation more of a headwind in H2. We remain positive on SKF as a share due to the expected re-rating post-spinoff of SKF Automotive and adjust our target price to 280 SEK as we maintain our BUY rating. See full report [here](#).

GEA: A compelling mismatch / Upgrade to Buy: We upgrade GEA to Buy and raise our target price to EUR 70 (from EUR 64) as we now see a more compelling mismatch between the group's resilient fundamentals and the current valuation. We have become more confident in the outlook for improving revenue momentum, sustained margin expansion and continued execution against MISSION 30, supported by a favorable mix shift towards higher-margin service and digital revenues, additional cost savings and disciplined capital allocation. Against this background, we have increased our FY26E-FY28E EPS forecast by 4-6%. At the same time, GEA's defensive end-market exposure, low customer concentration and healthy order/backlog dynamics continue to underpin earnings resilience. Yet the shares trade at 10.3x EV/EBITDA, c.15% below their 10-year median and without the historical premium to peers, which in our view leaves the stock offering an attractive risk-reward profile from current levels. GEA management has already invested EUR 1.6m ytd in GEA shares via 13 disclosed purchases by all six board members, which we also view as a strong signal of confidence. Nevertheless, following the drop to a 52-week low at the beginning of this month, the stock has underperformed the MDAX and STOXX 600 Industrial Goods & Services ytd, leaving ~25% potential upside to our new price target. See full report [here](#).



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[China Macro: RMB Internationalization Blog \(4\): How China Becomes an Exporter of Capital](#)

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We read in the news

System solutions for Europe's new train platform: Knorr-Bremse wins contract from Siemens Mobility:

Rail travel across Europe is becoming more important, attractive, and popular. Siemens Mobility has created Vectouro, a new passenger train platform for flexible international use in Europe. Knorr-Bremse is supplying key technologies – including braking and entrance systems – to enhance the performance, availability, and efficiency of the trains. Equipment contract with an order volume for Knorr-Bremse in the mid double-digit million-euro range. (Source: Knorr-Bremse, 18 June 2026)

Alstom-led consortium signed €690 million to modernise Egypt's strategic rail corridors:

Alstom, leading a consortium with Rowad Modern Engineering and Concrete Plus, has signed four landmark contracts with Egyptian National Railways (ENR) to modernise Egypt's strategic railway corridors, covering the 6th of October–Alexandria corridor and Belbes–10th of Ramadan (B10) line. The combined value of the contracts is approximately €690 million, with Alstom's share representing around €300 million. As four of Egypt's most significant rail modernisation projects, the contracts support Egypt Vision 2030 by strengthening national logistics and improving connectivity between new dry ports, industrial zones, and major seaports. The 6th of October–Alexandria corridor, valued at €550 million, of which Alstom's share amounts to approximately €240 million, will be delivered across three major implementation lots. It will modernise the corridor with next-generation digital railway systems, upgraded telecommunications, reinforced power supply, and comprehensive civil and track rehabilitation. These enhancements will improve safety, increase capacity, enhance operational reliability, and reduce full route travel time by nearly 80 minutes. The Belbes–10th of Ramadan (B10) project, valued at approximately €140 million, of which Alstom's share amounts to approximately €60 million, will introduce the same advanced railway technologies and modernisation scope. It will enhance connectivity to one of Egypt's largest industrial hubs, strengthening freight efficiency and supporting industrial growth across the eastern logistics corridor. By transforming freight operations between the 6th of October Dry Port and the Alexandria Seaport and enhancing rail connectivity to the 10th of Ramadan industrial zone, the projects will strengthen links between Egypt's major logistics hubs and maritime gateways. They will help ease supply chain bottlenecks, support sustainable freight transport, and boost national and regional trade flows. (Source: Alstom, 18 June 2026)

Schindler Holding Ltd. increases ongoing share buyback program to up to CHF 700 million:

The Board of Directors has resolved to increase the total value of the ongoing share buyback program to up to CHF 700 million. On October 17, 2024, Schindler Holding Ltd. announced a share buyback program for registered shares and participation certificates with a total value of up to CHF 500 million. The program was launched in November 2024 and is expected to be completed by November 2026 at the latest. The buyback is being conducted on second trading lines on the SIX Swiss Exchange. With immediate effect, the ongoing share buyback program will be increased by up to CHF 200 million. The total value of the program therefore now amounts to up to CHF 700 million. All other terms stated in the buyback notice dated November 5, 2024, remain valid. The Board of Directors intends to cancel the repurchased registered shares and participation certificates by way of a capital reduction to be resolved by the next Annual General Meeting. (Source: Schindler, 17 June 2026)



Siemens Energy to build 2 GW converter platform with German shipyard for the first time:

Siemens Energy and Neptun Smulders Offshore Renewables (NSORe) have been awarded a contract to deliver a new grid connection system for offshore wind farms in the North Sea for German transmission system operator, 50Hertz. The connection, known as North Sea Connector 2, will enable up to 2 gigawatts of wind power to be transmitted from offshore to onshore in the future. The offshore converter platform will be fabricated by NSORe, a joint venture between Neptun Werft - part of the German Meyer Werft Group - and the Belgian construction company Smulders, primarily at the Neptun Werft shipyard in Rostock-Warnemünde. Siemens Energy will equip the platform with electrical transmission technologies, which will largely be manufactured at the company's German factories. Siemens Energy has also been awarded a long-term service contract to cover maintenance, IT services, and on-call support. The company expects to fully book the order in the next fiscal year starting on October 1, 2026. (Source: Siemens Energy, 17 June 2026)

Siemens partners with Databricks and FFT to turn production data into scalable AI-driven insights:

Siemens announced a new edge-to-cloud integration with Databricks, the Data and AI company, and long time automation partner FFT Produktionssysteme GmbH (FFT). Together, the partners will connect production data directly to enterprise AI – without complex IoT middleware. This will help industrial customers transform their data into actionable insights and scale industrial AI across global operations. With the new integration, customers are able to stream contextualized shopfloor and plant data from Siemens Industrial Edge via the FFT DataBridge directly to the Databricks Platform, where it can be analyzed and used to train AI models centrally for implementation across global production networks. These models can then be deployed back to the edge for execution at the point of production. This approach helps industrial companies optimize their operations, reduce costs and increase productivity with low latency, data driven decision making. It lays the foundation for physical AI and future autonomous operations. (Source: Siemens, 16 June 2026)

Sandvik wins SEK 350 million mining equipment order in Australia:

Sandvik has received a major equipment order from the Australia-based mining contractor Barminto, to be deployed at the Bellevue Gold Project in Western Australia. The order is valued at approximately SEK 350 million and was booked in the second quarter of 2026. The order includes underground loaders, trucks and drill rigs, with deliveries expected to begin in the third quarter of 2026 and continue through the first quarter of 2027. Sandvik will also provide rock tools and parts and services. (Source: Sandvik, 15 June 2026)

Wärtsilä to establish a joint venture for its global Energy Storage business with RCT Solutions GmbH and discontinue Energy Storage as a separate reporting segment:

Wärtsilä has agreed to establish a joint venture with German company RCT Solutions GmbH for its global Energy Storage business. The ownership structure of the joint venture will be 50% RCT Solutions and 50% Wärtsilä. At a later stage, new investors may join the joint venture, which could reduce the ownership of the initial shareholders. The joint venture would include Wärtsilä's Energy Storage business currently reported as a separate segment. The Energy Storage business has been the smallest segment within Wärtsilä, with about 480 employees globally and net sales of EUR 694 million with a profitability of 3.3% in 2025. Wärtsilä would transfer net assets representing less than 5% of Wärtsilä's total net assets into the joint venture. Wärtsilä's Energy Storage business supports the decarbonisation of the energy market by delivering utility-scale integrated



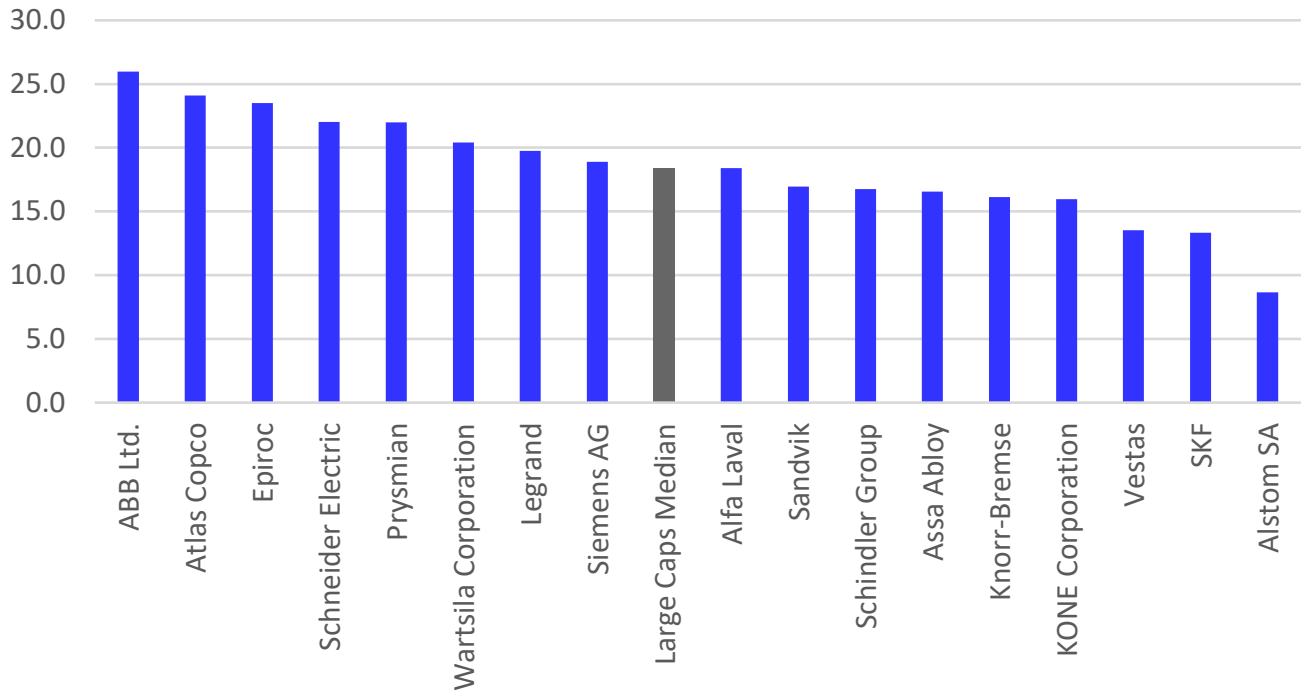
battery energy storage systems (BESS) and optimisation with proven reliability, flexibility, and safety. The portfolio includes high-performance hardware, intelligent controls and optimisation software, and full-service lifecycle support. RCT Solutions GmbH is a German engineering company, founded in 2012, with strong international expertise in solar and battery energy storage systems (BESS). RCT Solutions brings strong market knowhow, business execution capability, knowledge of the global supply chain, as well as an opportunity for vertical integration through an existing integrated BESS manufacturing initiative in the USA in the near term. RCT has led the engineering and establishment of several battery and solar manufacturing facilities worldwide, while one of the RCT companies has supported Wärtsilä Energy Storage as a key supplier for several years. (Source: Wärtsilä, 15 June 2026)

Schneider Electric and Hon Hai Technology Group (Foxconn) announce strategic collaboration to accelerate next-generation AI data centers: Schneider Electric, a global energy technology leader, today announced a strategic collaboration with Hon Hai Technology Group (Foxconn), the world's largest electronics manufacturer, to help define and scale the next generation of AI data centers. As AI adoption surges, the demands on digital infrastructure are being fundamentally reshaped. This collaboration brings together Foxconn's unmatched expertise in advanced compute platforms, AI rack integration, and global manufacturing with Schneider Electric's leadership in power systems, cooling, and energy management. Together, the companies aim to deliver integrated, ready-to-deploy solutions that enable customers to build and operate AI infrastructure with greater speed, efficiency, and predictability across regions. Production will begin later this year. Through this collaboration, Foxconn and Schneider Electric will co-develop next-generation reference architectures for AI data centers. The partnership will also explore innovations in closed-loop energy optimization, modular power and cooling skids, and standardized design frameworks, creating repeatable, high-performance blueprints for AI factories worldwide. By aligning manufacturing excellence with energy intelligence, the two companies are setting the foundation for a new class of AI infrastructure that is scalable by design, efficient by default, and ready to meet the accelerating demands of the AI era. (Source: Schneider Electric, 15 June 2026)



European EV/EBITA Multiples

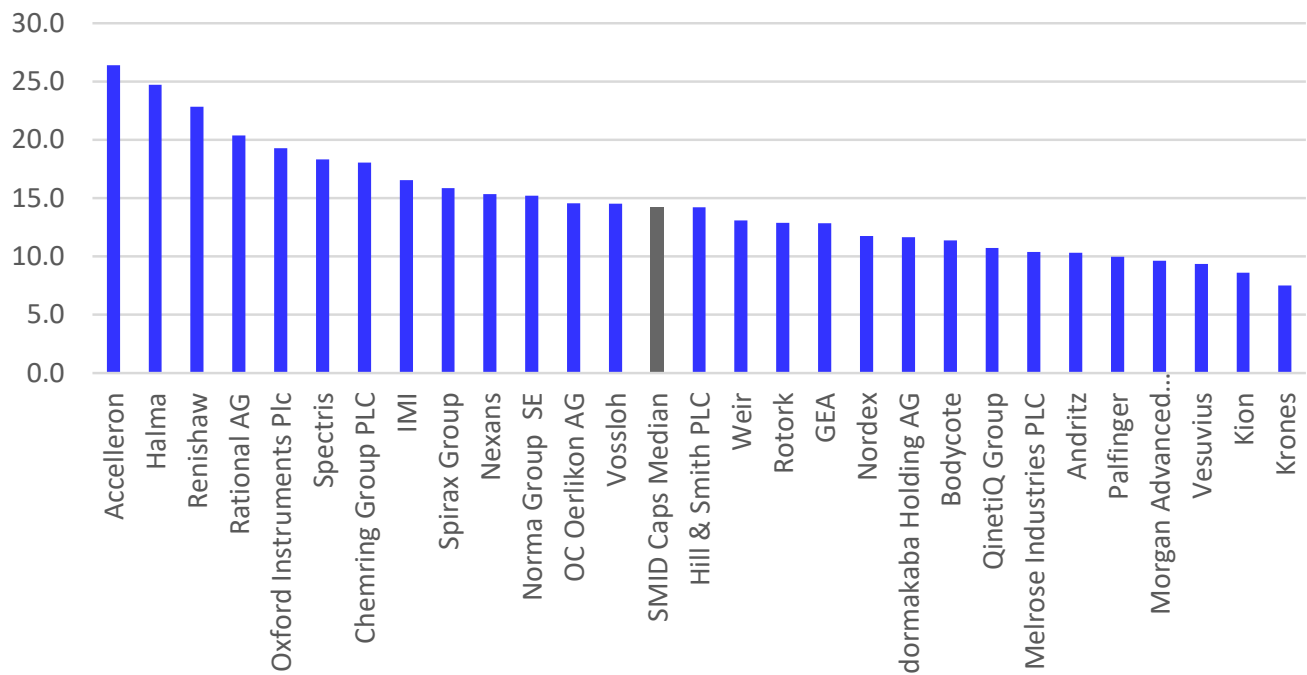
Figure 3: Capital Goods Large Caps (2026e)



Source : Deutsche Bank estimates. *Multiples as close on 18 June 2026



Figure 4: Capital Goods SMID Caps (2026e)

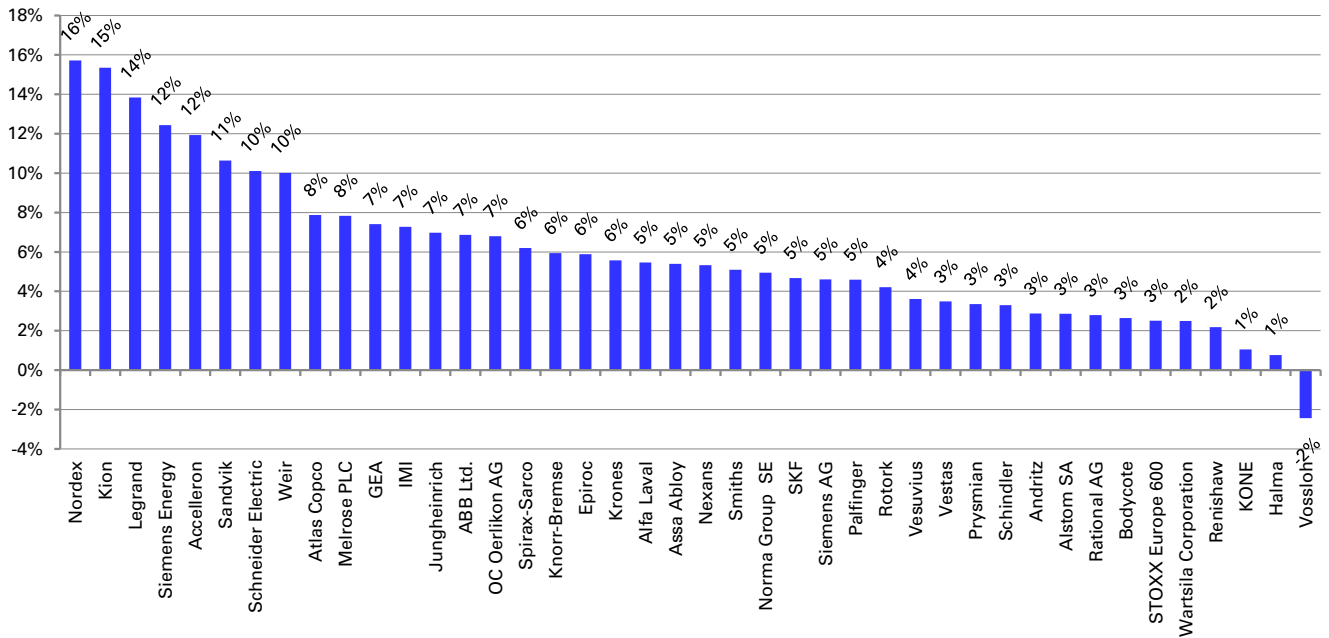


Source : Deutsche Bank estimates. *Multiples as of close on 18 June 2026



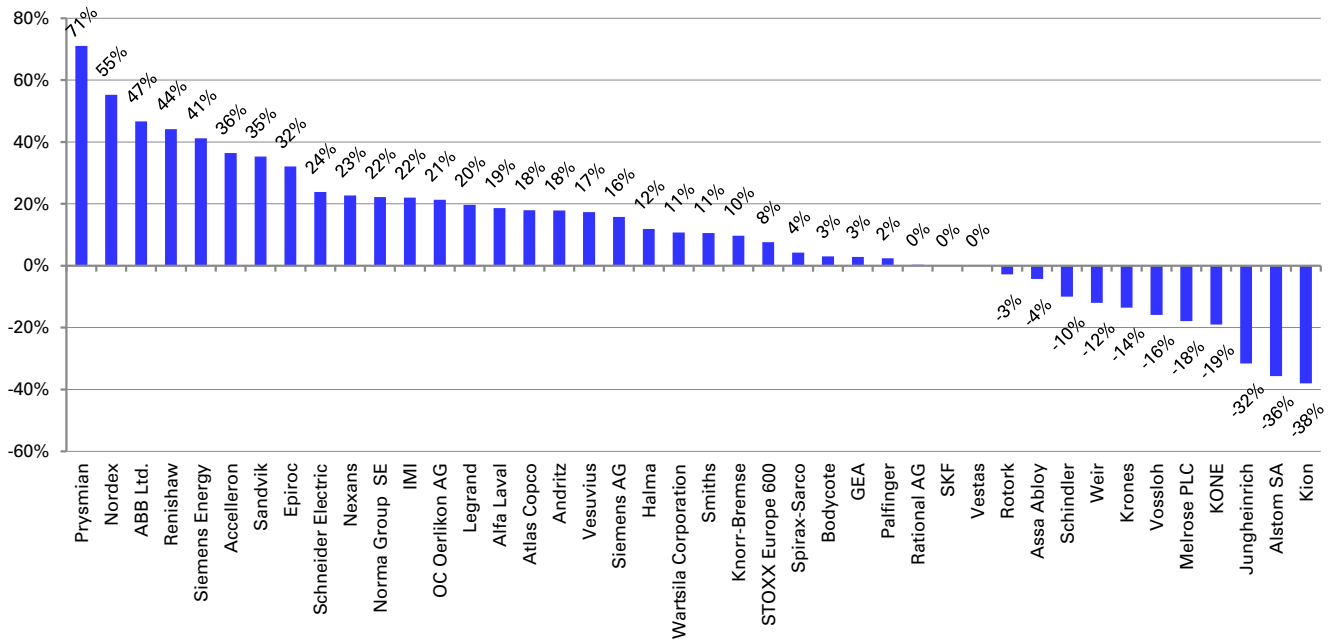
European Share Price Performance

Figure 5: Europe 1 week performance



Source : Deutsche Bank, Bloomberg Finance LP. *Prices as of close on 18 June 2026, change is vs. on 11 June 2026

Figure 6: Europe YTD performance

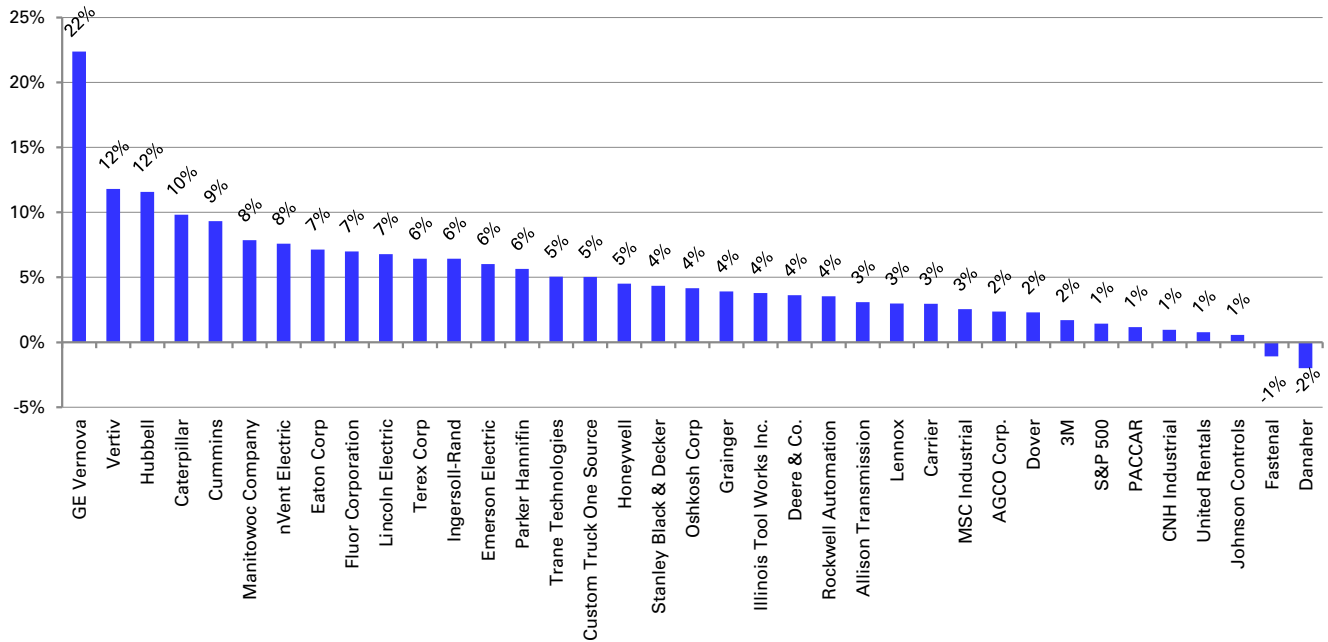


Source : Deutsche Bank, Bloomberg Finance LP. *Prices as of close on 18 June 2026



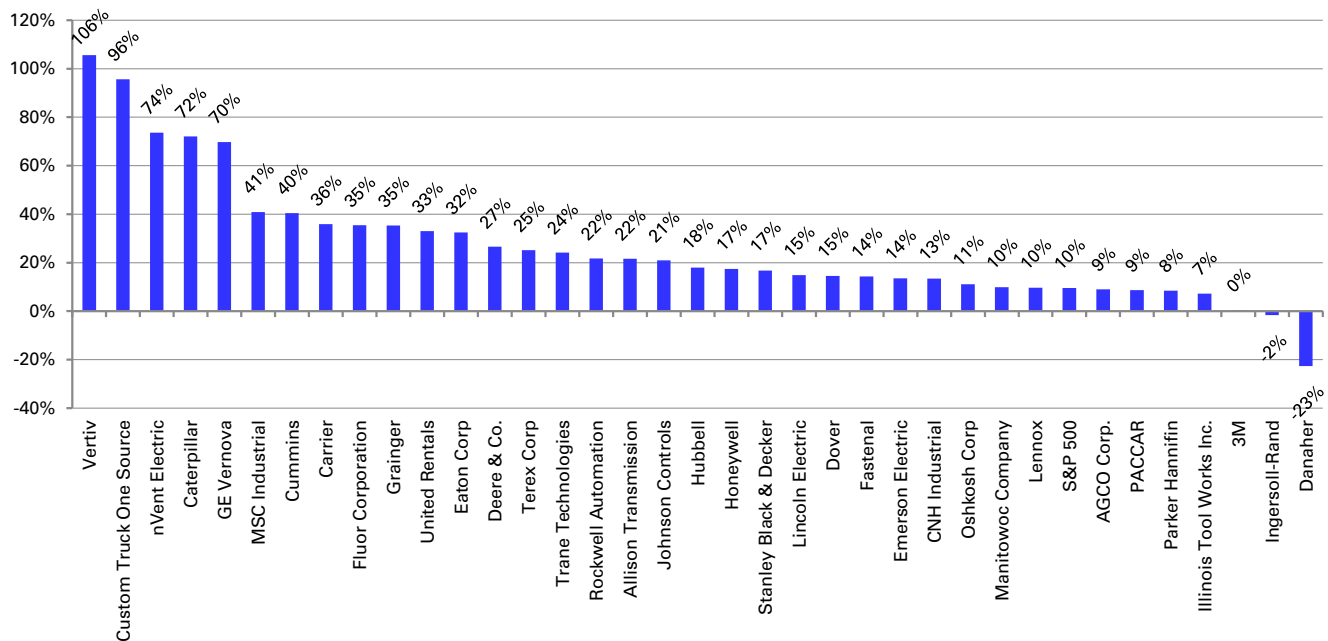
US Share Price Performance

Figure 7: US 1 week performance



Source : Deutsche Bank, Bloomberg Finance LP. *Prices as of close on 18 June 2026, change is vs. close on 11 June 2026

Figure 8: US YTD performance

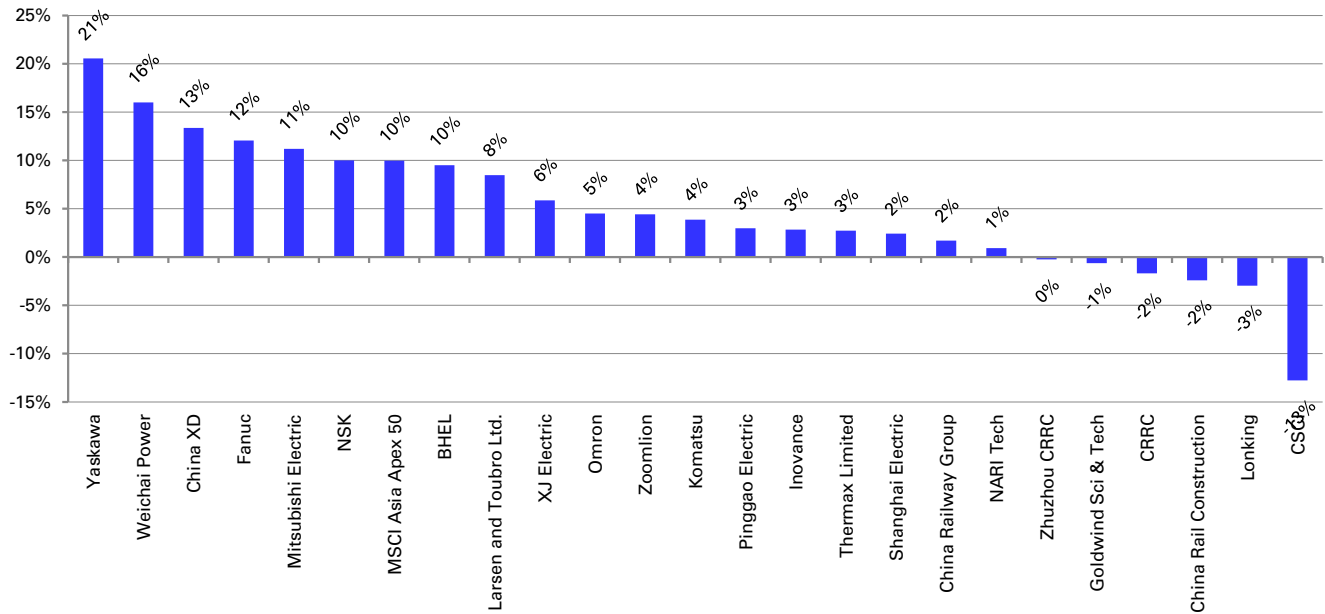


Source : Deutsche Bank, Bloomberg Finance LP. *Prices as of close on 18 June 2026



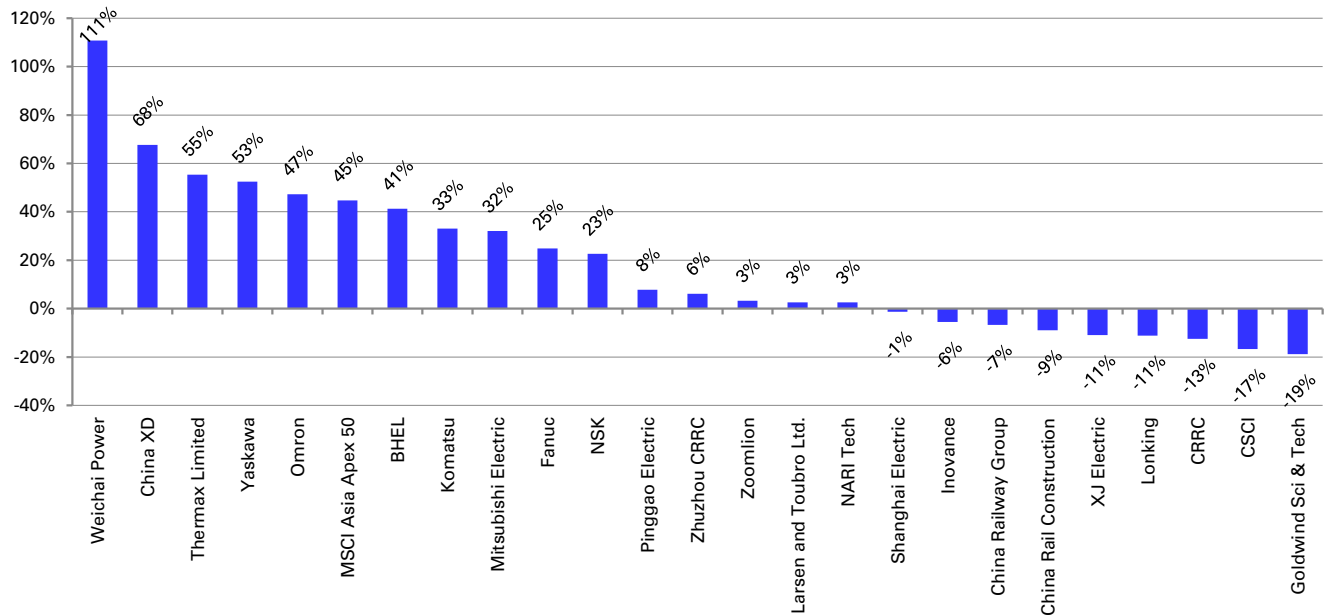
Asia Share Price Performance

Figure 9: Asia 1 week performance



Source : Deutsche Bank, Bloomberg Finance LP. *Prices as of close on 18 June 2026, change is vs. on 11 June 2026

Figure 10: Asia YTD performance



Source : Deutsche Bank, Bloomberg Finance LP. *Prices as of close on 18 June 2026

Valuation table

Figure 11: European valuation table

Deutsche Bank European Capital Goods Valuation Table																
19 Jun 2026		Current	Target	Upside/	Rating	Mcap	PE **		EV/EBITA **		FCF yield **		EV/Sales		EBITA Margin (%)	Div. yield (%)**
Company Name	Lead Analyst	Price	Price	downside		EURm	2026	2027	2026	2027	2026	2027	2026	2027	2026	2026
ABB Ltd.	Gael de-Bray, CFA	86.9	68.0	-21.7%	Hold	134,493	34.7	30.6	26.0	22.5	2.3	3.0	5.1	4.6	19.5	1.2
Alfa Laval	John Kim	552.6	570.0	3.1%	Buy	20,828	24.4	23.0	18.4	16.9	4.0	3.2	3.3	3.0	17.9	1.7
Alstom SA	Gael de-Bray, CFA	16.2	19.0	17.3%	Hold	7,476	10.4	8.5	8.6	6.8	NM	5.4	0.5	0.4	5.4	0.0
Assa Abloy	Gael de-Bray, CFA	343.5	340.0	-1.0%	Hold	34,794	22.2	20.4	16.5	15.1	4.7	4.9	2.8	2.6	16.8	2.0
Atlas Copco	John Kim	195.9	190.0	-3.0%	Hold	86,987	31.5	27.9	24.1	21.1	3.1	3.3	5.5	5.0	22.8	1.6
Epiroc	John Kim	277.2	267.0	-3.7%	Hold	30,234	32.1	27.0	23.5	19.8	2.5	2.8	5.1	4.4	21.6	1.4
Knorr-Bremse	Gael de-Bray, CFA	104.4	115.0	10.2%	Buy	16,829	22.2	19.4	16.1	14.0	3.8	4.8	2.3	2.2	14.5	2.0
KONE Corporation	John Kim	49.0	66.0	34.6%	Buy	25,411	22.0	19.5	16.0	14.0	5.3	6.1	2.1	1.9	13.1	4.0
Legrand	Gael de-Bray, CFA	152.3	148.0	-2.8%	Hold	39,681	26.3	23.9	19.7	17.7	3.5	4.1	4.1	3.7	20.7	1.7
Prysmian	Nabil Najeeb	147.8	167.0	13.0%	Buy	42,365	33.1	27.7	22.0	18.7	2.8	2.8	2.1	1.9	9.3	0.7
Sandvik	John Kim	406.7	445.0	9.4%	Buy	46,522	21.7	19.4	17.0	14.8	3.9	4.5	3.8	3.3	22.3	1.5
Schindler Group	John Kim	261.0	290.0	11.1%	Hold	29,907	24.6	23.1	16.8	15.7	5.0	5.4	2.3	2.2	13.9	2.6
Schneider Electric	Gael de-Bray, CFA	291.0	300.0	3.1%	Buy	163,890	30.0	25.6	22.0	18.8	2.8	3.5	4.1	3.7	18.5	1.7
Siemens AG	Gael de-Bray, CFA	276.8	255.0	-7.9%	Hold	214,873	25.3	22.0	18.9	15.9	3.3	3.8	2.8	2.5	14.7	2.0
Siemens Energy	Gael de-Bray, CFA	169.3	200.0	18.1%	Buy	137,889	36.5	27.1	28.1	19.9	5.0	3.2	3.2	2.8	11.2	1.0
SKF	John Kim	246.1	280.0	13.8%	Buy	10,219	19.4	15.7	13.3	11.0	4.3	6.0	1.4	1.3	10.3	2.9
Vestas	John Kim	173.6	190.0	9.4%	Hold	22,784	19.7	16.4	13.5	10.7	5.6	6.7	1.0	0.8	7.3	0.5
Wartsila Corporation	John Kim	33.7	35.0	3.9%	Hold	19,819	31.0	27.5	20.4	17.9	3.3	3.1	2.8	2.6	14.0	1.6
Large cap electricals & machinery median							24.9	23.1	18.6	16.4	3.8	4.0	2.8	2.6	14.6	1.6
Accelleron	John Kim	84.0	74.0	-11.9%	Hold	6,656	34.2	30.4	26.4	23.5	2.8	2.7	6.8	6.1	25.6	1.8
Andritz	Lars vom-Cleff	78.7	90.0	14.4%	Buy	7,713	13.8	12.8	10.3	9.1	6.3	7.2	0.9	0.8	9.0	3.5
Bodycote	Thomas Elgar, CFA	719.0	960.0	33.5%	Buy	1,416	15.0	13.2	11.4	10.3	5.4	7.6	1.9	1.9	16.9	3.3
Chemring Group PLC	Richard Paige	487.4	650.0	33.4%	Buy	1,532	23.8	21.0	18.1	15.7	NM	2.5	2.7	2.4	15.0	1.7
dormakaba Holding AG	Lars vom-Cleff	54.2	77.0	42.1%	Buy	2,267	18.4	16.1	11.6	10.5	10.8	11.1	1.5	1.4	12.8	2.0
GEA	Lars vom-Cleff	59.6	70.0	17.5%	Buy	9,704	18.1	16.8	12.8	11.5	5.2	5.7	1.7	1.6	13.3	2.5
Halma	Richard Paige	3,958.0	3,980.0	0.6%	Hold	17,255	32.6	30.4	24.7	22.9	3.1	3.3	5.6	5.2	22.4	0.7
Hill & Smith PLC	Richard Paige	2,875.0	2,975.0	3.5%	Buy	2,586	20.3	18.5	14.2	13.4	3.4	5.2	2.5	2.4	17.6	2.0
IMI	Richard Paige	3,036.0	3,250.0	7.0%	Buy	8,334	21.9	20.8	16.5	16.3	4.8	5.1	3.3	3.3	20.0	1.2
Kion	Gael de-Bray, CFA	42.4	63.0	48.6%	Buy	5,559	12.4	9.4	8.6	6.7	6.4	9.4	0.7	0.6	7.7	2.1
Krones	Lars vom-Cleff	117.8	180.0	52.8%	Buy	3,722	11.6	10.0	7.5	6.1	7.0	8.7	0.6	0.5	7.6	2.8
Melrose Industries PLC	Richard Paige	483.3	570.0	17.9%	Hold	6,831	12.5	10.3	10.4	8.8	3.4	4.1	2.0	1.8	18.9	1.8
Morgan Advanced Materials	Richard Paige	228.0	210.0	-7.9%	Hold	728	13.9	12.4	9.6	9.4	3.3	4.8	0.9	0.9	9.7	5.4
Nexans	Nabil Najeeb	154.4	179.0	15.9%	Buy	6,726	23.4	17.9	15.4	11.6	2.8	4.5	0.8	0.7	5.3	2.1
Nordex	John Kim	45.4	59.0	30.0%	Buy	10,730	22.7	18.5	11.7	9.0	6.2	6.4	1.0	0.8	8.2	0.0
Oxford Instruments Plc	Richard Paige	3,018.0	3,450.0	14.3%	Buy	1,921	26.9	24.0	19.3	17.0	2.7	3.6	3.5	3.2	17.9	0.8
Palfinger	Lars vom-Cleff	34.2	48.0	40.6%	Buy	1,284	13.1	10.9	10.0	8.4	7.3	7.8	0.7	0.6	7.1	2.9
QinetiQ Group	Richard Paige	439.8	600.0	36.4%	Buy	2,716	13.1	12.0	10.7	10.1	7.0	9.0	1.2	1.1	11.2	2.7
Rational AG	Lars vom-Cleff	668.0	773.0	15.7%	Hold	7,595	29.0	26.7	20.4	18.6	3.7	3.5	5.2	4.8	25.6	2.5
Renishaw	Richard Paige	5,060.0	4,960.0	-2.0%	Hold	4,245	29.4	27.1	22.8	20.6	2.2	3.1	4.2	3.9	18.4	1.7
Rotork	Thomas Elgar, CFA	316.4	400.0	26.4%	Buy	3,001	18.5	17.5	12.9	12.0	4.7	5.5	3.2	3.0	24.6	2.7
Spirax Group	Thomas Elgar, CFA	7,110.0	7,500.0	5.5%	Hold	6,044	22.5	20.1	15.9	14.3	3.8	4.1	3.3	3.1	20.5	2.5
Vesuvius	Thomas Elgar, CFA	465.6	440.0	-5.5%	Hold	1,327	12.5	10.7	9.3	8.2	8.3	9.2	0.8	0.8	8.9	5.1
Vossloh	Lars vom-Cleff	64.3	87.0	35.3%	Buy	1,242	17.4	15.6	14.5	13.2	5.9	7.0	1.3	1.2	9.2	1.9
Weir	John Kim	2,506.0	3,230.0	28.9%	Buy	7,457	18.9	17.3	13.1	12.0	5.3	5.7	2.7	2.5	20.9	1.8
Mid cap & UK machinery median							18.7	17.4	13.0	11.8	4.8	5.3	1.8	1.7	14.1	2.0
European sector (Median)							22.2	19.5	16.0	14.2	3.9	4.8	2.4	2.3	14.6	1.8

Source : Deutsche Bank estimates. *Using prices as of close on 18 June 2026 **Based on DB adjusted figures



Figure 12: US valuation table

Deutsche Bank North America Capital Goods Valuation Table

19 Jun 2026

Company Name	Lead Analyst	Current	Target	Upside/	Rating	Mcap	PE**		EV/EBITA**		FCF yield**		EV/Sales		EBITA Margin (%)		Div. yield (%)**
		Price	Price	downside			2026	2027	2026	2027	2026	2027	2026	2027	2026	2026	2026
3M	Nicole DeBlase	160.6	171.0	6.5%	Hold	73,798	18.7	17.3	15.3	14.4	3.3	4.9	3.7	3.6	24.1	1.9	
Dover	Nicole DeBlase	223.6	229.0	2.4%	Hold	26,291	21.1	19.8	19.5	17.2	4.0	4.6	3.6	3.3	18.3	1.0	
Eaton Corp	Nicole DeBlase	421.8	461.0	9.3%	Buy	142,648	31.5	25.8	28.6	22.3	2.5	3.2	5.6	5.0	19.6	1.0	
Emerson Electric	Nicole DeBlase	150.7	164.0	8.9%	Hold	73,479	23.4	21.4	21.1	20.3	4.2	4.5	5.0	4.7	23.8	1.5	
GE Vernova	Nicole DeBlase	1,109.7	1,288.0	16.1%	Buy	259,758	87.6	45.8	59.3	32.1	2.6	2.2	6.3	5.3	10.6	0.0	
Honeywell	Nicole DeBlase	229.0	250.0	9.2%	Buy	126,741	21.7	19.8	21.2	19.1	3.6	4.3	4.2	3.9	19.7	2.2	
Hubbell	Nicole DeBlase	523.7	520.0	-0.7%	Hold	24,212	26.2	24.0	19.7	17.8	3.6	3.7	4.5	4.1	22.9	1.1	
Illinois Tool Works Inc.	Nicole DeBlase	264.1	286.0	8.3%	Hold	65,832	23.4	21.7	18.7	17.6	4.3	4.7	5.0	4.9	27.0	2.5	
Ingersoll-Rand	Nicole DeBlase	77.9	86.0	10.4%	Hold	26,567	22.3	21.0	16.3	15.0	4.3	5.1	4.1	3.9	25.5	0.0	
nVent Electric	Nicole DeBlase	177.0	187.0	5.6%	Buy	24,950	38.3	29.9	28.3	22.3	2.5	2.9	5.9	4.9	20.7	0.5	
Parker Hannifin	Nicole DeBlase	953.3	896.0	-6.0%	Hold	104,861	28.2	NA	24.3	NA	3.5	NA	5.6	NA	23.0	0.9	
Johnson Controls	Nicole DeBlase	144.8	164.0	13.2%	Buy	76,936	29.8	25.3	24.9	20.9	3.3	3.4	3.8	3.5	15.3	1.1	
Otis Worldwide	Nicole DeBlase	73.3	90.0	22.8%	Hold	24,611	17.8	16.6	14.2	13.4	6.2	6.0	2.3	2.2	16.3	0.0	
Rockwell Automation	Nicole DeBlase	473.8	438.0	-7.6%	Hold	46,246	36.8	33.5	30.9	27.3	2.7	3.0	6.2	5.9	20.2	1.2	
Stanley Black & Decker	Nicole DeBlase	86.8	82.0	-5.5%	Hold	11,512	16.2	16.3	11.3	10.8	6.2	6.7	1.1	1.1	10.0	4.0	
Trane Technologies	Nicole DeBlase	483.4	498.0	3.0%	Hold	92,849	32.5	28.8	24.9	22.3	3.2	3.3	4.7	4.3	18.7	0.9	
Vertiv	Nicole DeBlase	333.1	373.0	12.0%	Buy	111,110	51.8	36.3	39.5	27.1	1.8	2.2	9.1	6.8	23.1	0.1	
North America Multi-industry & electricals (Median)							26.2	22.8	21.2	19.7	3.5	4.0	4.7	4.2	20.2	1.0	

Source : Deutsche Bank estimates. *Using prices as of close on 18 June 2026





Figure 13: Europe stock performance table

Deutsche Bank European Capital Goods Performance Table								
June 19, 2026		Current	Recent performance				52-wk %	52-wk %
Company Name	Currency	Price	1M	3M	12M	YTD	from high	above low
ABB Ltd.	USD	86.9	9%	32%	85%	47%	0%	90%
Alfa Laval	SEK	552.6	2%	7%	38%	19%	-4%	41%
Alstom SA	EUR	16.2	-4%	-31%	-11%	-36%	-46%	3%
Assa Abloy	SEK	343.5	3%	7%	17%	-4%	-13%	18%
Atlas Copco	SEK	195.9	14%	23%	30%	18%	0%	36%
Epiroc	SEK	277.2	7%	26%	33%	32%	0%	47%
Knorr-Bremse	EUR	104.4	2%	9%	27%	10%	-10%	34%
KONE Corporation	EUR	49.0	-5%	-10%	-12%	-19%	-30%	1%
Legrand	EUR	152.3	5%	13%	41%	20%	-5%	42%
Prysmian	EUR	147.8	5%	56%	165%	71%	-6%	166%
Sandvik	SEK	406.7	13%	20%	94%	35%	0%	95%
Schindler Group	CHF	261.0	4%	3%	-7%	-7%	-13%	6%
Schneider Electric	EUR	291.0	14%	20%	36%	24%	0%	39%
Siemens AG	EUR	276.8	8%	32%	33%	16%	-1%	36%
Siemens Energy	EUR	169.3	1%	16%	96%	41%	-10%	101%
SKF	SEK	246.1	7%	14%	19%	0%	-6%	19%
Vestas	EUR	173.6	-11%	13%	66%	0%	-14%	83%
Wartsila Corporation	EUR	33.7	0%	5%	74%	11%	-15%	74%
Large cap electricals & machinery median			4%	14%	34%	17%	-6%	40%
Accelleron	USD	84.0	2%	11%	54%	36%	-6%	54%
Andritz	EUR	78.7	9%	29%	32%	18%	-1%	33%
Bodycote	GBP	719.0	6%	15%	29%	3%	-14%	29%
Chemring Group PLC	GBP	487.4	3%	-7%	-13%	3%	-19%	6%
dormakaba Holding AG	CHF	54.2	4%	11%	-21%	-16%	-32%	12%
GEA	EUR	59.6	7%	-3%	3%	3%	-10%	11%
Halma	GBP	3958.0	-10%	7%	27%	12%	-19%	27%
Hill & Smith PLC	GBP	2875.0	11%	40%	74%	34%	0%	74%
IMI	GBP	3036.0	12%	17%	47%	22%	0%	50%
Kion	EUR	42.4	-4%	-5%	4%	-38%	-40%	18%
Krones	EUR	117.8	1%	2%	-12%	-13%	-18%	8%
Melrose Industries PLC	GBP	483.3	0%	-1%	-3%	-18%	-29%	8%
Morgan Advanced Materials PL	GBP	228.0	5%	18%	9%	5%	-6%	22%
Nexans	EUR	154.4	0%	34%	56%	23%	-8%	62%
Nordex	EUR	45.4	3%	0%	173%	56%	-9%	174%
Oxford Instruments Plc	GBP	3018.0	6%	25%	72%	47%	-9%	72%
Palfinger	EUR	34.2	2%	0%	-2%	2%	-15%	17%
QinetiQ Group	GBP	439.8	5%	-11%	-12%	0%	-20%	8%
Rational AG	EUR	668.0	3%	2%	-3%	1%	-13%	10%
Renishaw	GBP	5060.0	3%	35%	79%	44%	-7%	86%
Rotork	GBP	316.4	5%	4%	-3%	-3%	-18%	6%
Spirax Group	GBP	7110.0	4%	9%	22%	4%	-11%	22%
Vesuvius	GBP	465.6	7%	17%	25%	17%	-7%	33%
Vossloh	EUR	64.3	-4%	-11%	-12%	-16%	-32%	3%
Weir	GBP	2506.0	3%	-9%	2%	-12%	-29%	10%
Mid cap machinery median			3%	7%	15%	4%	-12%	22%
European sector (Median)			3%	10%	28%	10%	-10%	33%

Source : Deutsche Bank. *Using prices as of close on 18 June 2026



Figure 14: US stock performance table

Deutsche Bank North America Capital Goods Performance Table

19 Jun 2026

Company Name	Currency	Current	Relative performance				52-week % from high	52-week % above low
		Price	1M	3M	12M	YTD		
3M	USD	160.6	8%	13%	13%	0%	-8%	14%
Dover	USD	223.6	8%	6%	27%	15%	-4%	39%
Eaton Corp	USD	421.8	13%	17%	26%	32%	-3%	34%
Emerson Electric	USD	150.7	15%	16%	17%	14%	-7%	22%
GE Vernova	USD	1,109.7	10%	26%	126%	70%	-3%	132%
Honeywell	USD	229.0	5%	0%	3%	17%	-8%	23%
Hubbell	USD	523.7	13%	6%	31%	18%	-6%	33%
Illinois Tool Works Inc.	USD	264.1	7%	1%	9%	7%	-12%	10%
Ingersoll-Rand	USD	77.9	14%	-5%	-4%	-2%	-21%	14%
nVent Electric	USD	177.0	12%	44%	151%	74%	0%	158%
Parker Hannifin	USD	953.3	12%	6%	46%	8%	-7%	46%
Johnson Controls	USD	144.8	7%	9%	40%	21%	-2%	42%
Otis Worldwide	USD	73.3	3%	-9%	-23%	-16%	-28%	6%
Rockwell Automation	USD	473.8	12%	33%	47%	22%	0%	47%
Stanley Black & Decker	USD	86.8	17%	26%	34%	17%	-6%	40%
Trane Technologies	USD	483.4	8%	14%	15%	24%	-2%	28%
Vertiv	USD	333.1	3%	24%	180%	106%	-11%	186%
North America sector (Median)			10%	13%	31%	18%	-6%	34%

Source : Deutsche Bank. *Using prices as of close on 18 June 2026



Appendix 1

Important Disclosures

*Other information available upon request

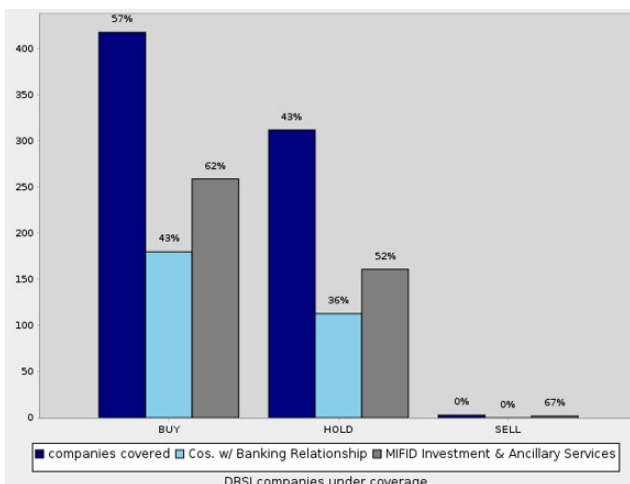
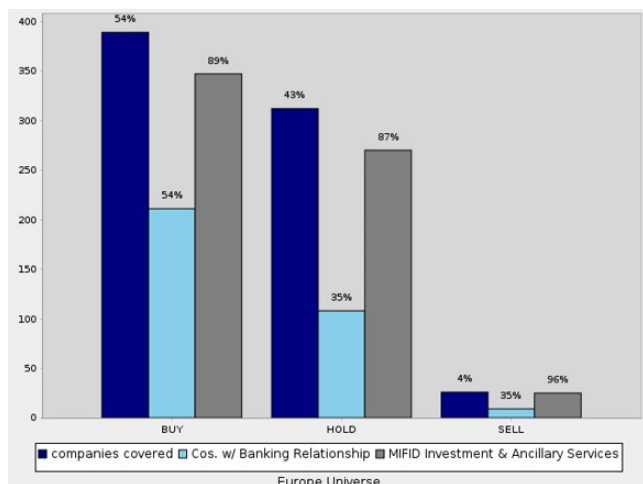
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Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and/or Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

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Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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